



CASE STUDY

FROM RED, AMBER, GREEN TO REAL NUMBERS

Learn how a leading financial services firm transformed their traditional, color coded risk assessment into a quantitative, data-driven decision-making process.

 **DECIDEWRIGHT**

OVERVIEW

A mid-sized financial services firm found their risk committee asking questions about qualitative risk frameworks they couldn't answer. Due to this a decision was made to partner with DecideWright to implement our QRA Playbook. In just 90 days, we transformed their traditional "red, amber, green" risk assessments into quantitative decision intelligence, enabling data-driven risk decisions and elevating their CRO's strategic influence.



KEY RESULTS

- Within 24-hours our proof of concept demonstrated immediate transformation potential
- A 90-day implementation delivered full quantitative risk capability
- £2.3M hidden exposure was identified in previously "medium" rated risk
- A 35% improvement in risk committee decision-making speed
- CRO strategic influence elevated to peer level with CFO/COO

THE CHALLENGE

The client had spent 18 months building what they considered a sophisticated qualitative risk framework. Using an enhanced Impact × Likelihood matrix with five impact factors and defined probability ranges, they had moved beyond basic "high, medium, low" ratings to create more structured assessments.

However, as their risk management maturity grew, so did their leaderships expectations. The risk committee and executive team began asking increasingly sophisticated questions:

- "What is our aggregate risk exposure across the organization?"
- "How should we prioritize our limited risk mitigation budget?"
- "What is the expected financial impact of this risk over the next year?"
- "How much has our risk position improved after implementing these controls?"



THE CHALLENGE

Their Chief Risk Officer explained:

"We've reached the ceiling of what we can do with colored boxes on a heat map. While I walk into the boardroom with red, amber, and green ratings the CFO presents precise financial projections, I lose credibility and influence."

The qualitative approach that had served them well initially was now limiting their ability to make sophisticated risk-based decisions involving significant resources.



SOLUTION

Here at DecideWright we proposed our three-stage QRA Playbook approach, starting with a 24-hour proof of concept using the clients existing qualitative data.

STAGE ONE: PROOF OF CONCEPT

We extracted the clients current risk register containing 47 identified risks with traditional qualitative ratings. Using our proprietary methodology, we transformed these into quantitative assessments:

Before (Qualitative):

- Risk: "Cyber security incident"
- Rating: "High Impact, Medium Likelihood"
- Priority: "Red - Immediate attention required"

After (Quantitative):

- Risk: "Cyber security incident"
- Probability: 18% annually
- Impact Range: £1.2M - £4.8M
- Expected Annual Loss: £756,000
- 95th Percentile Loss: £3.2M

The transformation revealed critical insights hidden in the qualitative data: a "medium" rated operational risk actually had a 5% probability of exceeding £2.3M in losses, while three "high" rated risks had more manageable financial implications than assumed. Aggregate exposure across all risks totaled £4.7M expected annual loss, and risk concentration in specific business areas became clearly visible.

SOLUTION

STAGE TWO: PROOF OF VALUE (90 DAYS)

Following the successful proof of concept in stage one, the client authorized full implementation within their trading operations department. Over the next 90 days, we were able to achieve the following.

Methodology Implementation:

- Trained 12 risk professionals in quantitative assessment techniques
- Established probability distribution modeling for all major risk categories
- Created Monte Carlo simulation capabilities for scenario analysis
- Developed automated risk aggregation processes

Technology Deployment:

- Implemented Predixtive platform integration with existing systems
- Built real-time quantitative risk dashboards
- Established automated reporting replacing manual spreadsheet processes
- Created executive summary views with key quantitative metrics

Process Transformation:

- Replaced monthly qualitative risk reviews with weekly quantitative updates
- Integrated risk metrics into business planning and capital allocation
- Established risk-adjusted performance measurement
- Created quantitative risk appetite statements

RESULTS

Immediate Operational Improvements

- Decision Speed: Risk committee decision-making improved by 35% as discussions focused on specific numbers rather than subjective interpretations
- Resource Allocation: £850,000 risk mitigation budget optimally allocated based on quantified return on investment
- Hidden Risks Identified: Previously undetected concentration risk worth £2.3M discovered and addressed
- Process Efficiency: Manual risk assessment time reduced by 60% through automation



RESULTS

Strategic Business Value:

- CRO Influence: Chief Risk Officer now presents quantitative analysis alongside CFO financial projections, gaining equal strategic influence
- Capital Efficiency: More precise risk quantification enabled 15% reduction in regulatory capital allocation
- Business Intelligence: Risk insights now directly inform pricing, product development, and market expansion decisions
- Competitive Advantage: Superior risk intelligence enables more aggressive but informed strategic positioning

AS THE CLIENTS CEO NOTED: "OUR RISK FUNCTION HAS TRANSFORMED FROM A COMPLIANCE COST CENTER TO A STRATEGIC ASSET. WE NOW MAKE BETTER BUSINESS DECISIONS BECAUSE WE CAN SEE AND QUANTIFY RISKS THAT WERE PREVIOUSLY INVISIBLE."

IMPLEMENTATION

KEY SUCCESS FACTORS

Rather than requiring new data collection we always start with the clients existing data which enables us to turn the proof of concept round in 24 hours and provides immediate value.

The fixed price guarantee for stages 1 and 2 with no scope creep, enables confident investment decisions to be made.

Our approach focused on practical business application rather than theoretical frameworks, ensuring real-world usability. Combining proven Risk-Based Performance Management methodology with our Predixtive platform automation ensures sustainable and scalable results.

This clients executive leadership saw immediate value in quantitative insights, driving organization-wide adoption and support.

CLIENT FEEDBACK

"DecideWright didn't just implement technology – they transformed how we think about risk. In 90 days, we went from presenting colors to presenting numbers that directly inform our strategic decisions. Our CRO now has the same analytical credibility as our CFO, and our business is better for it."

Chief Executive Officer



THE DECIDEWRIGHT DIFFERENCE

This transformation demonstrates the power of the QRA Playbook approach providing:

- Immediate Proof: Within 24-hour we were able to demonstrate the value before major investment needed to be made
- Practical Implementation: Working with existing data and processes, not asking the client to change their ways of working to fit with us
- Quantitative Intelligence: Transform colors into numbers that drive decisions
- Strategic Elevation: Position risk professionals as analytical peers
- Measurable ROI: Clear business value and competitive advantage

Ready to Transform Your Risk Function?

If your organization is hitting the qualitative ceiling and needs quantitative risk intelligence for strategic decision-making, the QRA Playbook can deliver transformation in 24-48 hours.

THANK YOU



CONTACT

Contact DecideWright today to:

- Book your Risk Transformation Discovery call
- Schedule your 24-hour Proof of Concept
- Transform your risk function from cost center to strategic advantage

Because in today's business environment, presenting risk in colors while your peers present numbers isn't just ineffective, it's career limiting.

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DecideWright: Clarify in Uncertainty
Transform Risk from Colors to Numbers